

GRASPING AT STRAWS

With margins rapidly shrinking due to inflation, consumer goods companies are doing all they can to keep their heads above water. But it will be tough going for some time

BY **ARNAB DUTTA**

ILLUSTRATION BY **NILANJAN DAS**

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INCE THE START of the Covid-19 pandemic in early 2020, Sunita Rao has weathered many a storm. From losing her husband during the first wave to gasping for oxygen during the second one, Rao—a homemaker from a lower middle-income household who has two school-going kids—started delivering home-cooked meals around her neighbourhood in Mumbai’s Ghatkopar after her husband passed away. This gritty woman won the battle against Covid-19, but the demon of inflation is giving her sleepless nights.

The steady rise in prices of essential items—from vegetables and cooking oil to milk and rice—has not only jeopardised her household budget, but also her business. Add to that the shooting prices of LPG and petrol, essential commodities for her business. While the government has provided some relief on that front, the rising cost of school stationery and procuring smart-

phones for her kids have moved her household costs further north. “I had to encash one of my husband’s fixed deposits last month to meet the surging costs,” she says.

Yet, Rao isn’t alone. Thousands of Indians have been grappling with inflation for the past two years. And consumer goods manufacturers—from makers of soaps, detergents and instant noodles to companies manufacturing air conditioners (ACs), refrigerators and televisions—too, are facing the heat.